

Alphabet

NASDAQ : \$4366.3B mkt cap · 12.09B sh · \$126.8B cash, \$48.5B debt · \$126.8B cash vs \$48.5B debt (~\$78.3B net cash); ~12.09B shares (Class A+B+C), buyback + a small dividend; Revenue \$402.8B FY25 (+15%); GAAP op margin 32.0%; FCF \$73.3B; capex ~\$91B and guided to ~\$190B in FY26; Up ~28% YTD and ~130-160% TTM to ~\$360 / ~\$4.35T cap; ATH close \$402.38 (May-2026), re-rated on owning the full AI stack

DCF

\$361.21

THE CENTRAL QUESTION

Does Alphabet's full AI stack (TPUs→Gemini→Cloud→apps) defend and monetize Search faster than generative-AI assistants erode its query and ad economics?

Alphabet trades at ~\$4.35T (~\$360, +28% YTD and ~130-160% TTM) - roughly 60x EV/FCF on \$402.8B revenue growing ~15%, 32% operating margins, net cash, \$73.3B FCF before a capex ramp to ~\$190B. Cloud just re-accelerated to +63% with a ~\$462B backlog and the AI stack re-rated the name, but Search is still ~60%+ of revenue and the price embeds the win. The DCF asks whether Search holds its economics through the generative-AI shift while Cloud compounds. The finding lands -21.4% (weighted ~\$286): the modal base sits right at spot, so the run priced in the franchise and then some.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$282.54 expected fair value today
-21.8% vs spot \$361.21

FORWARD COMPOUNDED VALUE

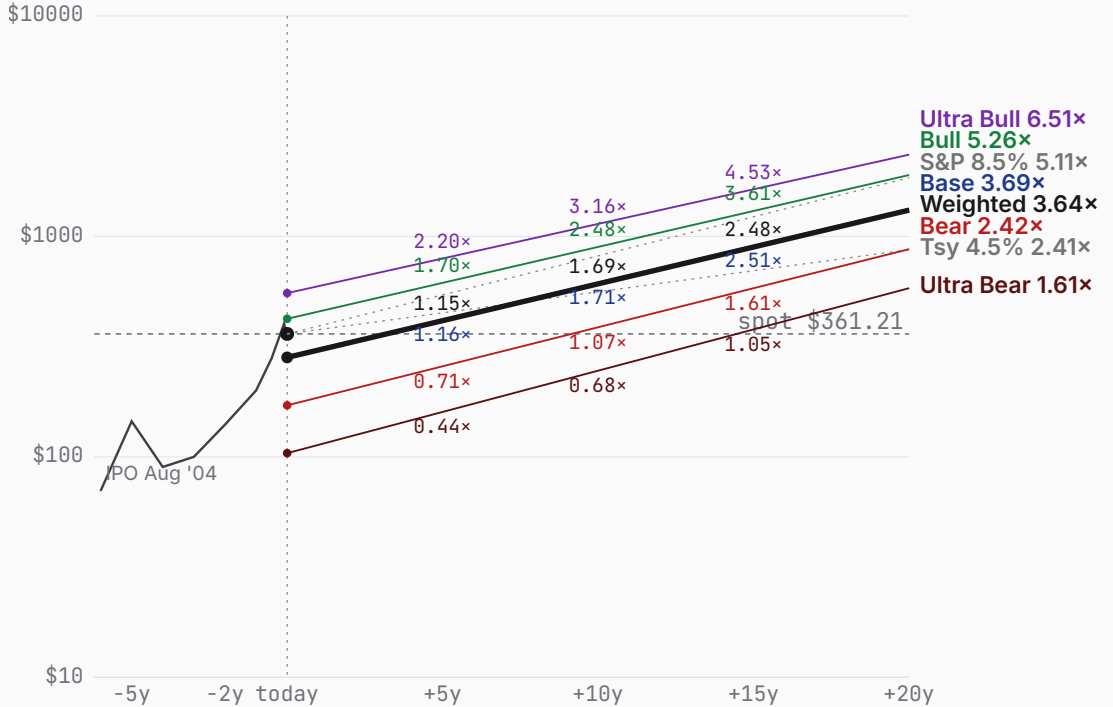
+5y	+10y	+15y	+20y
\$414.92	\$609.49	\$895.58	\$1,316.37
1.15× spot	1.69× spot	2.48× spot	3.64× spot

WEIGHTING RATIONALE

- Ultra Bear 13% AI assistants erode Search economics; ~\$104 (-71%).
- Bear 25% Search slows; capex caps returns; ~\$171 (-52%).
- Base 34% Search defends; Cloud compounds; ~\$286 (-20%).
- Bull 20% AI stack compounds; Cloud re-rates; ~\$423 (+18%).
- Ultra Bull 8% Full-stack AI platform re-rates; ~\$553 (+54%).

Bull (20%) + Ultra Bull (8%) together contribute \$128.85 — 46% of the \$282.54 expected value despite 28% combined probability. Today's spot (\$361.21) sits 28% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$103.95	BEAR	\$171.32	BASE	\$286.32	BULL	\$422.99	ULTRA BULL	\$553.18
	-71.2% vs spot		-52.6% vs spot		-20.7% vs spot		+17.1% vs spot		+53.1% vs spot
CAGR +4.8% WACC 9.0% CAGR +4.8% Prob 13%		CAGR +9.6% WACC 8.5% CAGR +9.6% Prob 25%		CAGR +13.4% WACC 8.0% CAGR +13.4% Prob 34%		CAGR +16.2% WACC 7.8% CAGR +16.2% Prob 20%		CAGR +18.7% WACC 7.5% CAGR +18.7% Prob 8%	
AI assistants gut Search economics.		Search slows; capex caps returns.		Search defends; Cloud compounds.		AI stack compounds; Cloud re-rates.		Full-stack AI platform; multiple re-rates.	



Alphabet scenario narratives

PROBABILITY WEIGHTS

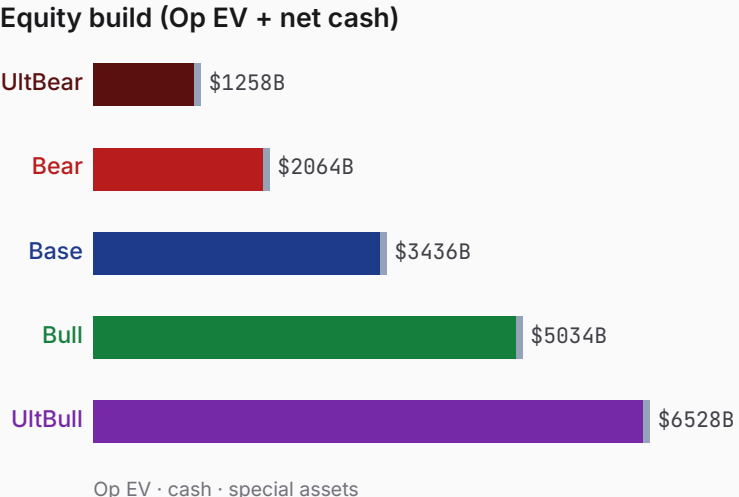
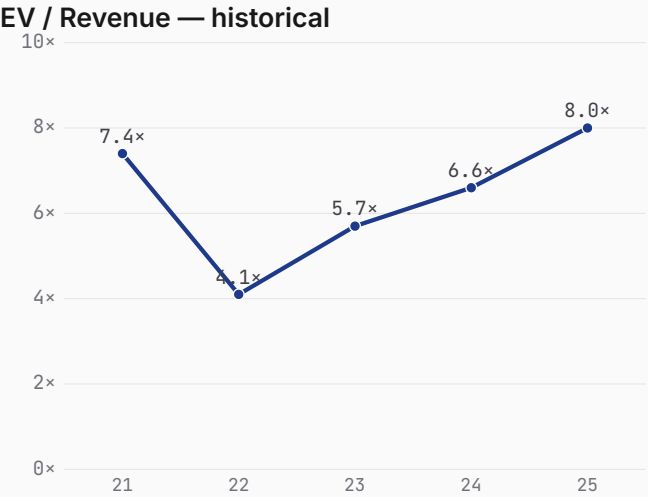
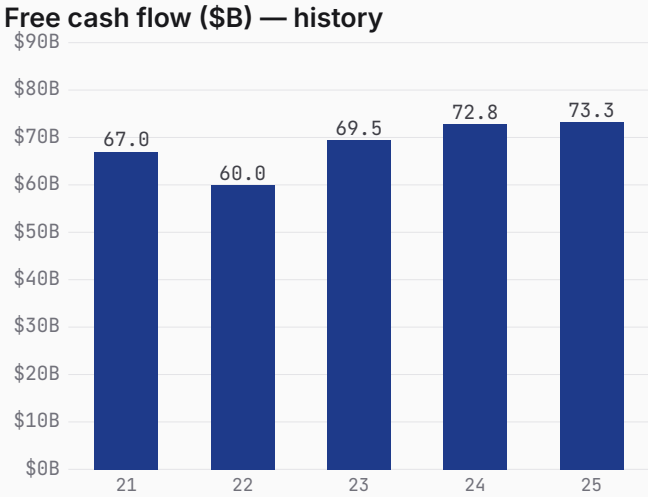
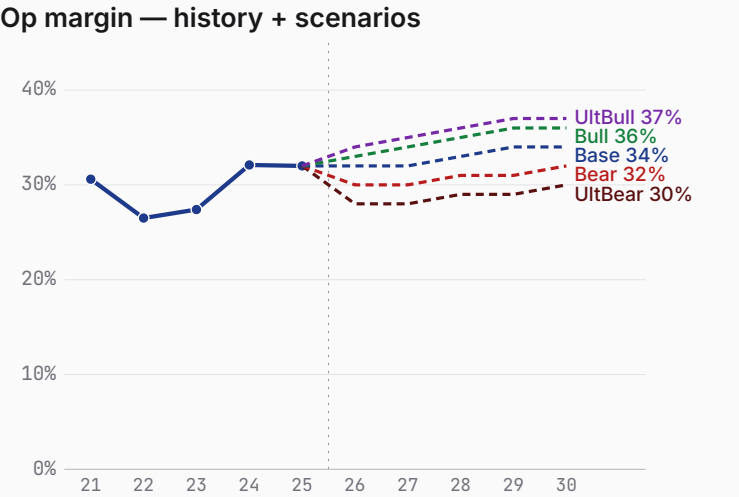
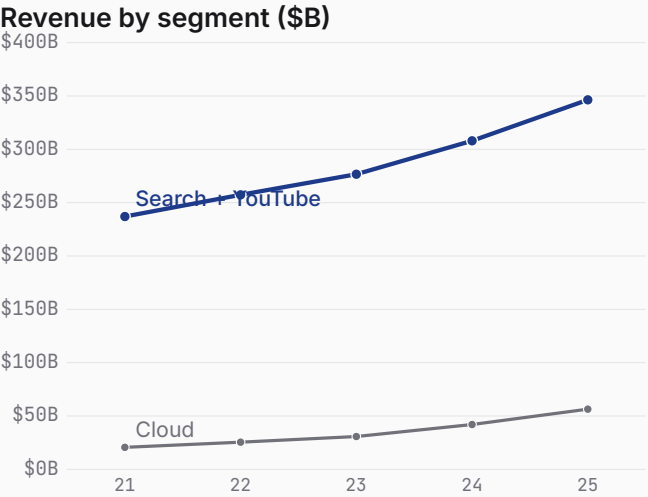
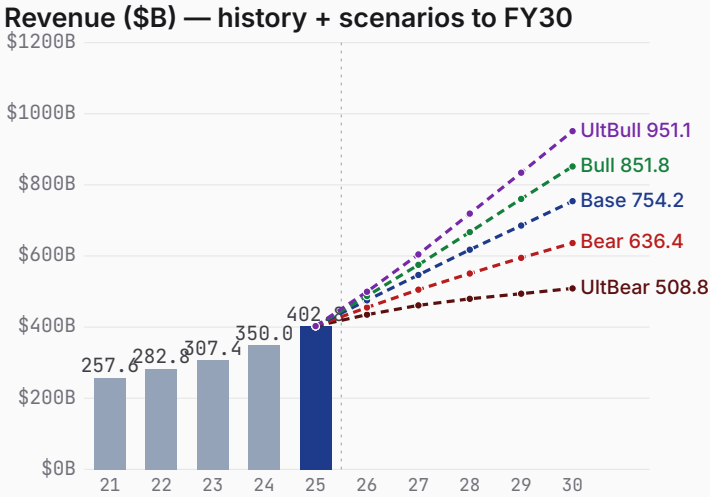
Ultra Bear 13% Bear 25% Base 34% Bull 20% Ultra Bull 8% · Weighted expected \$282.54 (-21.8% vs spot)

ULTRA BEAR	\$103.95	BEAR	\$171.32	BASE	\$286.32	BULL	\$422.99	ULTRA BULL	\$553.18
	-71.2% vs spot		-52.6% vs spot		-20.7% vs spot		+17.1% vs spot		+53.1% vs spot
Probability 13%		Probability 25%		Probability 34%		Probability 20%		Probability 8%	
AI assistants gut Search economics.		Search slows; capex caps returns.		Search defends; Cloud compounds.		AI stack compounds; Cloud re-rates.		Full-stack AI platform; multiple re-rates.	
WHY 13%		WHY 25%		WHY 34%		WHY 20%		WHY 8%	
The genuine bear: Search is ~60%+ of revenue, the capex commitment is now ~\$190B and 'significantly higher' in 2027, and chatbots are a live substitution threat. 13% weight on the AI shift impairing the core.		Search holds share but the shift compresses ad economics while ~\$190B capex weighs on returns - the plausible 'defends but de-rates' path. 25% given the antitrust overhang and the capex trajectory.		Requires Search to monetize AI at near-parity and Cloud to keep compounding while capex stays productive - consistent with Q1'26 (Search +19%, Cloud +63%, margin doubling). 34% as the central, near-spot outcome.		Cloud's +63% and doubling margin plus a defended, AI-monetized Search make a genuine compounding case credible. 20% weight on the full AI stack delivering on both legs.		Everything works - Search monetizes AI above parity AND Cloud compounds AND TPUs/Gemini/Waymo add value AND the multiple holds. ~8%, the long-duration tail.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
Generative-AI assistants take real query share and lower ad load: Search growth stalls toward low-single-digit, AI Overviews monetize below legacy CPCs, and the ~\$190B capex ramp lands while revenue decelerates - so FCF margin sinks to ~15-17% off the ~18% base. Cloud keeps growing but can't offset a structurally impaired core.		Search defends volume but ad load and CPCs drift lower as queries route through AI surfaces, growth decelerates to high-single-digit, and the capex ramp holds FCF margin near 18-20% even as Cloud scales. The AI stack works but the blended economics are lower than the past decade's.		The modal path: Search defends and monetizes the AI transition at roughly parity (Q1'26's +19% argues defense is winning), Cloud keeps compounding off the ~\$462B backlog with expanding margins, and FCF margin recovers from the capex trough toward ~24% as the ~\$190B spend builds capacity that fills. Revenue compounds low-double-digit to ~\$680B.		The full stack pays off: TPUs lower the cost of serving Gemini, Cloud sustains hyper-growth and operating leverage off the backlog, AI Mode/Overviews lift Search monetization above legacy rates, and FCF margin climbs toward ~27% once the capex wave is absorbed. Revenue compounds mid-teens to ~\$730B.		Everything compounds: Gemini + AI Mode expand Search economics, Cloud becomes a durable second franchise at scale, Waymo and the mode/TPU stack add optionality, and FCF margin reaches ~29% as the capex cycle turns into high-return capacity. Revenue compounds high-teens to ~\$790B.	
A franchise whose primary cash engine is being disrupted earns a low-growth, ~16x terminal multiple → DCF ~\$104 (-71%). The net cash sets a floor but can't offset a Search that loses its economics while capex stays committed.		DCF ~\$171 (-52%) - a still-dominant platform that grows slower and converts less of revenue to free cash flow at ~19x FCF is worth well below today's price; the post-run multiple already prices the win.		DCF ~\$286 (-20%) - the modal case lands right at spot. A franchise growing low-double-digit at a recovering ~24% FCF margin and a ~23x multiple is worth about today's price; the 2026 run priced the franchise in, leaving little margin of safety at the modal outcome.		DCF ~\$423 (+18%) - if Search not only defends but Cloud + the AI stack compound into a second profit engine, the franchise is worth meaningfully above spot at a ~27x multiple; this is the bull the re-rating is paying for.		DCF ~\$553 (+54%) - Alphabet re-rates as the broadest full-stack AI platform; ~8% probability, the asymmetric upside that owning chips through apps could deliver.	

Alphabet business snapshot

Bear \$171.32 Base \$286.32 Bull \$422.99

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 results



Sources: SEC XBRL company facts (CIK 1652044; revenue, GAAP operating income/margin, cash flow, debt), Alphabet Q1 2026 release (revenue \$109.9B/+22%, op margin 36.1%, Search & other +19% to \$60.4B, Cloud +63% to \$20.0B at 32.9% margin, backlog ~\$462B, FY26 capex guided ~\$190B). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs mega-cap platform peers (MSFT/META/AMZN).

Alphabet 7 Powers · the moat, scored

Bear \$171.32 Base \$286.32 Bull \$422.99

Arena. Search + digital advertising and cloud/AI infrastructure - Alphabet (Search, YouTube, Cloud, the TPU→Gemini→apps stack) vs Microsoft/OpenAI, Amazon, Meta, and chatbot challengers; auditing entrenched network/scale/cornered-resource Powers against a generative-AI substitution and a live antitrust threat.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies 	Massive fixed-cost leverage across the index, ad systems, YouTube, and global data centers; 32% operating margin at \$403B revenue - few can match the spend per query.
Network Economies · thesis leans here 	Search's two-sided advertiser/user loop, YouTube's creator/viewer flywheel, and Android/Play ecosystems - more users sharpen results and pricing, a genuine network Power.
Counter-Positioning 	The incumbent now being counter-positioned by AI-native assistants (ChatGPT), not the disruptor; AI Overviews is a defensive retrofit, not counter-positioning.
Switching Costs 	Workspace/Cloud contracts and the ~\$462B backlog lock enterprises in; consumer Search switching is low, but Android/Chrome/account defaults raise friction.
Branding 	'Google' is a verb and a default trust signal, but brand alone won't hold queries if an assistant answers better - durable yet not the binding Power.
Cornered Resource 	The crawl index, decades of query/click data, custom TPUs, and frontier Gemini models - assets rivals cannot quickly replicate; the data + silicon edge is the deepest moat.
Process Power 	Deep ML/infra engineering capability, but increasingly a contested field rather than a unique repeatable process.

PEER SET

Microsoft / OpenAI Azure + Copilot + OpenAI partnership attack both Cloud and Search via AI assistants; the primary full-stack rival.	16% gr · 45% mgn · ~35x P/E
Amazon (AWS) Cloud market leader; the EV/FCF and Cloud-growth benchmark Alphabet's Cloud is measured against.	15% gr · 11% mgn · ~30x EV/FCF
Meta Platforms Ad-budget rival and AI-compute peer; competes for advertiser dollars and AI talent/capex.	20% gr · 41% mgn · ~24x EV/FCF
OpenAI / Anthropic Frontier-model labs whose assistants are the direct generative-AI substitution threat to Search query volume.	· private

THREAT VECTORS · FALSIFIERS

Network Economies · ChatGPT / AI-native assistants falsifier: Search & other growth decelerates toward low-single-digit or query volume visibly leaks to chatbots, breaking the user/advertiser loop.
Cornered Resource · Frontier labs + merchant silicon (NVIDIA) falsifier: Rivals match Gemini quality and serving cost, eroding the data/TPU advantage as a differentiator.
Scale Economies · DOJ / ad-tech antitrust remedy falsifier: An adverse ad-tech ruling forces an AdX/DFP divestiture or default-distribution bans dent Search's scale and reach.

COMPETITIVE READ

Alphabet's network and scale Powers are deeply entrenched - a two-sided Search/advertiser loop, YouTube's flywheel, and a cornered-resource stack (index, query data, custom TPUs, Gemini) few rivals can replicate. The Audit: network_economies is durable (high); the live threats are generative-AI assistants substituting for ~60%+-of-revenue Search and an antitrust overhang (DOJ search appeal, a pending ad-tech divestiture) the DCF doesn't price. Q1'26 (Search +19%, Cloud +63%) says the defense is winning - but the ~28% YTD run re-rated the name to ~60x EV/FCF, so the modal case lands at spot: -21.4%, a durable franchise priced for the win.

Alphabet show your work

Bear \$171.32 Base \$286.32 Bull \$422.99 · Weighted \$282.54 (-21.8%)

ULTRA BEAR	\$103.95	BEAR	\$171.32	BASE	\$286.32	BULL	\$422.99	ULTRA BULL	\$553.18
ASSUMPTIONS		ASSUMPTIONS		ASSUMPTIONS		ASSUMPTIONS		ASSUMPTIONS	
5y revenue CAGR (%)	+4.8	5y revenue CAGR (%)	+9.6	5y revenue CAGR (%)	+13.4	5y revenue CAGR (%)	+16.2	5y revenue CAGR (%)	+18.7
Year-5 op margin (%)	30.0	Year-5 op margin (%)	32.0	Year-5 op margin (%)	34.0	Year-5 op margin (%)	36.0	Year-5 op margin (%)	37.0
WACC (%)	9.0	WACC (%)	8.5	WACC (%)	8.0	WACC (%)	7.8	WACC (%)	7.5
Terminal growth (%)	2.5	Terminal growth (%)	3.0	Terminal growth (%)	3.5	Terminal growth (%)	4.0	Terminal growth (%)	4.0
Terminal FCF (\$B)	\$86.49B	Terminal FCF (\$B)	\$127.28B	Terminal FCF (\$B)	\$181.00B	Terminal FCF (\$B)	\$229.99B	Terminal FCF (\$B)	\$275.81B
Starting revenue (\$B)	402.80	Starting revenue (\$B)	402.80	Starting revenue (\$B)	402.80	Starting revenue (\$B)	402.80	Starting revenue (\$B)	402.80
Scenario probability (%)	13	Scenario probability (%)	25	Scenario probability (%)	34	Scenario probability (%)	20	Scenario probability (%)	8
5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	435.02	+28%	+65.25	+59.87	FY26	455.16	+30%	+77.38	+71.32
FY27	461.13	+28%	+69.17	+58.22	FY27	505.23	+30%	+90.94	+77.25
FY28	479.57	+29%	+76.73	+59.25	FY28	550.70	+31%	+104.63	+81.92
FY29	493.96	+29%	+83.97	+59.49	FY29	594.76	+31%	+118.95	+85.83
FY30	508.78	+30%	+86.49	+56.21	FY30	636.39	+32%	+127.28	+84.65
Σ PV explicit FCF			+293.04		Σ PV explicit FCF			+400.96	
+ PV terminal (g 2.5%)			886.45		+ PV terminal (g 3.0%)			1585.18	
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV			\$1179.49B		Operating EV			\$1986.14B	
+ Cash & investments			\$126.80B		+ Cash & investments			\$126.80B	
– Total debt			\$48.50B		– Total debt			\$48.50B	
= Equity value			\$1257.79B		= Equity value			\$2064.44B	
FY30 shares (M)			12,100		FY30 shares (M)			12,050	
= Expected per share			\$103.95		= Expected per share			\$171.32	
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$159.94	\$246.09	\$378.64	\$582.58		\$257.61	\$387.35	\$582.44	\$875.80	
0.44×	0.68×	1.05×	1.61×		0.71×	1.07×	1.61×	2.42×	

5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	475.30	+32%	+90.31	+83.62	FY26	475.30	+32%	+90.31	+83.62
FY27	546.60	+32%	+109.32	+93.72	FY27	546.60	+32%	+109.32	+93.72
FY28	617.66	+33%	+135.88	+107.87	FY28	617.66	+33%	+135.88	+107.87
FY29	685.60	+34%	+157.69	+115.91	FY29	685.60	+34%	+157.69	+115.91
FY30	754.16	+34%	+181.00	+123.18	FY30	754.16	+34%	+181.00	+123.18
Σ PV explicit FCF			+524.30		Σ PV explicit FCF			+524.30	
+ PV terminal (g 3.5%)			2833.24		+ PV terminal (g 3.5%)			2833.24	
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV			\$3357.54B		Operating EV			\$4955.24B	
+ Cash & investments			\$126.80B		+ Cash & investments			\$126.80B	
– Total debt			\$48.50B		– Total debt			\$48.50B	
= Equity value			\$3435.84B		= Equity value			\$5033.54B	
FY30 shares (M)			12,000		FY30 shares (M)			11,900	
= Expected per share			\$286.32		= Expected per share			\$422.99	
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$420.70	\$618.14	\$908.26	\$1,334.53		\$615.78	\$896.43	\$1,305.00	\$1,899.79	
1.16×	1.71×	2.51×	3.69×		1.70×	2.48×	3.61×	5.26×	

5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B		5-YEAR DCF · \$B	
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	487.39	+33%	+97.48	+90.42	FY26	487.39	+33%	+97.48	+90.42
FY27	575.12	+34%	+126.53	+108.88	FY27	575.12	+34%	+126.53	+108.88
FY28	667.14	+35%	+160.11	+127.81	FY28	667.14	+35%	+160.11	+127.81
FY29	760.54	+36%	+197.74	+146.43	FY29	760.54	+36%	+197.74	+146.43
FY30	851.80	+36%	+229.99	+157.98	FY30	851.80	+36%	+229.99	+157.98
Σ PV explicit FCF			+631.52		Σ PV explicit FCF			+631.52	
+ PV terminal (g 4.0%)			4323.72		+ PV terminal (g 4.0%)			4323.72	
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV			\$6449.21B		Operating EV			\$6449.21B	
+ Cash & investments			\$126.80B		+ Cash & investments			\$126.80B	
– Total debt			\$48.50B		– Total debt			\$48.50B	
= Equity value			\$6527.51B		= Equity value			\$6527.51B	
FY30 shares (M)			11,800		FY30 shares (M)			11,800	
= Expected per share			\$553.18		= Expected per share			\$553.18	
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$794.16	\$1,140.12	\$1,636.79	\$2,349.83		\$794.16	\$1,140.12	\$1,636.79	\$2,349.83	
2.20×	3.16×	4.53×	6.51×		2.20×	3.16×	4.53×	6.51×	



Alphabet People · Opportunity · Context · Deal

Bear \$171.32 Base \$286.32 Bull \$422.99

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Sundar Pichai

6 yrs in seat

6%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Capital return ramping off a long no-payout history: initiated the first-ever dividend April 2024 (\$0.20/qtr, raised 5% to \$0.21 in 2025), alongside two consecutive \$70B buyback authorizations (April 2024 + April 2025). Simultaneously a record capex build — FY2025 guidance raised \$75B to \$85B to \$91-93B for AI infrastructure (TPUs/GPUs, data centers). Selective tuck-in M&A; SBC a multi-billion annual cost.

Incentive alignment
Non-founder CEO paid mostly in equity: FY2024 total comp \$10.73M on a \$2M base, the remainder equity. PSUs granted on a ~3-year cycle (2024 was an off-grant year; the 2022 grant pushed total comp to ~\$226M); long-term grants carry performance/TSR conditions. Pichai holds Class A/C from comp, not the super-voting Class B.

GOVERNANCE FLAGS

- triple-class: Class A (1 vote, GOOGL) · Class B (10 votes, founder-held, unlisted) · Class C (0 votes, GOOG)
- founders Page + Brin control ~52.7% of votes via Class B (Page 27.1% + Brin 25.2%) on ~6% economics — majority voting control
- CEO Pichai operates but holds no Class B; founders, not the CEO, hold control and cannot be outvoted by outside holders
- public Class C (GOOG) carries no vote at all

PEOPLE READ

Founders Page and Brin retain ~52.7% combined voting control via 10-vote Class B on roughly 6% economic ownership, while non-founder CEO Pichai (Alphabet CEO since Dec 2019) runs operations; capital return is ramping (first dividend 2024, repeated \$70B buybacks) against a record AI capex build.

THE FOUR LEGS

People
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -21.4% finding), then position-sized.

Alphabet supporting analysis · disclaimers · glossary

Bear \$171.32 Base \$286.32 Bull \$422.99

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **The run priced the franchise in.**
After +28% YTD / ~130-160% TTM the name is ~60x EV/FCF and the modal DCF is ~-20% - the AI stack is real, but the price already embeds the win, leaving thin margin of safety.
- 2 **Cloud at +63% with doubling margins is the new engine.**
Cloud hit \$20.0B/+63% at 32.9% operating margin (from 17.8%) with a ~\$462B backlog ~2x QoQ - a credible second franchise that the bull/ultra-bull cases lean on.
- 3 **Search defense is winning so far.**
Q1'26 Search & other still grew +19% to \$60.4B with AI Overviews at 2.5B MAU monetizing near parity - the central bear (query/CPC leakage) is not yet visible in the numbers.
- 4 **The ~\$190B capex is the FCF swing.**
Capex guided to ~\$190B FY26 and higher in 2027 crushes near-term FCF; the bull needs it to convert to high-return capacity.
- 5 **Antitrust is the unpriced tail.**
The DOJ search remedy (default bans + data-sharing, on appeal) and a pending ad-tech remedy (possible AdX/DFP divestiture) sit outside the DCF.

FALSIFICATION TRIGGERS

Bull validation Cloud growth holds >40% with margin above 30% · Search & other stays >+15% as AI Overviews/AI Mode monetize · FCF margin recovers above ~22% as capex is absorbed · backlog keeps building	Bear validation Search & other decelerates toward low-single-digit or CPCs fall · FCF margin stays below ~18% as ~\$190B+ capex outruns cash · Cloud growth/margin rolls over · an adverse ad-tech (AdX/DFP) divestiture remedy	Reframe needed if generative-AI assistants take durable query share and ad load drops, the ~60%-of-revenue Search engine loses its economics - re-rate the terminal toward a slower-growth, lower-FCF-margin platform
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Search & other — Alphabet's core search-advertising revenue (~\$60.4B in Q1'26, ~60%+ of total); the swing-factor segment the generative-AI shift threatens.	Google Cloud — The cloud-infrastructure + Workspace segment (\$20.0B/+63% in Q1'26 at ~33% operating margin, ~\$462B backlog) - the second engine.	AI Overviews / AI Mode — Gemini-powered answers atop Search (2.5B / 1B MAU) monetizing roughly at Search-parity - how Google defends ad economics through the AI transition.
TPU — Tensor Processing Unit - Google's custom AI accelerator; serves Gemini and Cloud AI below merchant-silicon cost.	FCF margin — Free cash flow / revenue (~18% FY25, depressed by the capex ramp); whether ~\$190B capex converts to ~24% recovery.	